

What Financial Statements Can and Cannot Reveal About Monetary Transmission to Corporate Balance Sheets: Evidence from Vietnam and Türkiye

Abstract

A productive literature shows that firms holding floating-rate debt bear the brunt of monetary tightening. It rests almost entirely on supervisory credit registries that record contract-level repricing terms. Most emerging markets have no such registry available to researchers; what they have is published financial statements. We ask, formally and empirically, whether the accounting record can substitute. We develop a measurement framework in which exposure is estimated rather than observed, and derive four results: the difference-in-differences estimand is attenuated by exactly the reliability ratio of the exposure measure; that ratio is identified by the split-half correlation of independently estimated exposures; feasible estimation of firm-level repricing sensitivities requires a panel length that annual accounting data does not deliver; and an inflation-accounting restatement whose magnitude depends on asset vintage enters the estimating equation as an exposure-by-post interaction that two-way fixed effects cannot absorb, while ratios of two flows are invariant to it up to a common factor. We then take these predictions to harmonised panels of 693 Vietnamese and 585 Turkish listed non-financial firms over 2010–2025, exploiting a natural contrast in dose: Türkiye tightened from 9% to 47.5% while Vietnam tightened mildly and reversed. The

constructive findings are that a simple implied borrowing cost recovers each central bank’s policy path without being given it, and that pass-through is large but incomplete, at roughly 35%, while median interest coverage halves. The cautionary findings match the theory point for point: split-half reliabilities of -0.219 and -0.080 imply a reliability ratio indistinguishable from zero, in-sample fit matches the derived null benchmark of $k/(T - 1)$ almost exactly, and no exposure gradient survives once contaminated outcomes are removed and the pre-period is long enough to test parallel trends. We conclude that the contractual object these designs require is not recoverable from published statements, and set out what is.

Keywords: monetary transmission, corporate default, measurement error, inflation accounting, emerging markets, financial statements

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1. Introduction

A firm that borrows at a floating rate feels a policy tightening within weeks. A firm that borrowed long and fixed does not feel it until it refinances. This asymmetry is simple, intuitive, and has become the organising principle
5 of a productive literature on how monetary policy reaches the corporate sector. Ippolito et al. (2018) identify a *floating rate channel* in matched loan-level records, showing that firms with unhedged floating-rate bank debt cut investment and employment more sharply after tightening. Şengül and Çinko (2026), studying the June 2023 policy reversal in Türkiye, apply a
10 two-part Double Machine Learning design to a large administrative dataset

and find that while the average effect is modest, sensitivity concentrates in firms with weak internal risk ratings, low liquidity and high exposure shares, with exporters and manufacturers relatively insulated.

What these studies share is not merely a question but an input: a credit
15 registry recording, loan by loan, whether the contract reprices. Such registries exist in relatively few jurisdictions and are available to researchers in fewer still. What almost every market does have is a body of audited, published financial statements. The question this paper takes seriously—and, we argue, the field has not asked carefully enough—is whether that accounting record
20 can stand in for the registry.

The stakes are practical. If statements suffice, the literature’s geographic reach expands by an order of magnitude. If they do not, then a body of work is being built on designs that cannot deliver what they promise, and it is worth establishing precisely where the failure occurs and what remains
25 possible.

1.1. Approach

We proceed in two stages. Section 3 develops a measurement framework in which the exposure variable is *estimated* rather than observed, and derives what that implies for the difference-in-differences estimand. The framework
30 delivers four propositions, each of which generates a sharp, falsifiable prediction about statistics we can compute. Sections 4–10 take those predictions to data.

The empirical design is comparative. Vietnam and Türkiye share the structural features that make the floating-rate channel plausible: bank-dominated
35 corporate finance, thin corporate bond markets, heavy reliance on short-

maturity credit, and substantial listed non-financial sectors. What they do not share is the monetary experience of 2021–2025. Türkiye executed one of the decade’s most severe tightenings, from 9.0% to 47.5%, under inflation exceeding 60%. Vietnam tightened modestly in late 2022 and reversed within
40 a year.

This contrast is the paper’s instrument. It supplies a strong dose and a weak one, and it imposes a discipline single-country studies cannot: a measurement strategy that works should register both, in proportion. A method reporting similar magnitudes in both, or registering Vietnam more
45 strongly than Türkiye, has failed a test it would never have faced alone.

Our diagnostic standard throughout is *validation against an external benchmark*. We do not ask whether a measure is statistically well behaved; we ask whether it recovers something independently known. For the price of debt, the benchmark is the published policy path. For exposure, it is
50 the firm’s own subsequent change in borrowing cost. For the panel, it is an independent commercial rendering of the same filings.

1.2. What we find

The constructive half of the answer concerns the *price* of corporate debt. A firm’s implied borrowing cost—interest expense divided by average debt—
55 aggregates to a series reproducing each central bank’s policy path without being shown it. The Turkish series peaks in 2024, the year policy peaks; the Vietnamese series traces the 2011 inflation crisis, the long easing through 2015, and the 2023 tightening. This establishes that ordinary filings carry a legible signal of monetary transmission.

60 Two results follow. We quantify pass-through: a 38.5 percentage point

Turkish policy move produces a 13.4 point move in realised borrowing costs, roughly 35%, while median interest coverage halves from 3.36 to 1.66. Section 3 shows how to read that number structurally as an effective repricing share. Second, the same diagnostic exposes a data hazard: a widely used
65 Turkish vendor field labelled *Financial Expenses* bundles foreign-exchange revaluation with interest, running roughly three times the true figure, so measures built on it peak in the lira crises of 2018 and 2021 rather than at the 2024 policy peak.

The cautionary half concerns *exposure*, and here theory and evidence co-
70 incide exactly. Proposition 1 shows that using an estimated exposure attenuates the estimand by the reliability ratio λ . Proposition 2 shows λ is identified by the split-half correlation of independently estimated exposures. We measure that correlation at -0.219 in Türkiye and -0.080 in Vietnam, implying $\hat{\lambda} \approx 0$: the estimand is attenuated to zero regardless of the true effect, and
75 a null is therefore uninformative about the underlying parameter. Proposition 4 derives the panel length required for feasible estimation and shows annual accounting data falls short by roughly an order of magnitude. Proposition 6 derives the in-sample fit expected under the null, $k/(T - 1) \approx 0.40$, against an observed Vietnamese median of 0.396.

Layered on top is a problem specific to high-inflation settings. Propo-
80 sition 7 shows that when non-monetary assets are restated by a vintage-dependent factor while monetary debt is not, the distortion enters as an exposure-by-post interaction that two-way fixed effects cannot absorb. Proposition 8 shows that ratios of two flows escape it. We demonstrate the former
85 empirically: a standard specification returns highly significant wrong-signed

coefficients on a monotonically growing post-treatment path.

1.3. Why a null of this kind is informative

Null results invite the suspicion of low power, and we address it directly. Over the analysis three separate significant results appeared and each
90 was shown to be an artefact: a Turkish effect of +0.886 ($p = 0.045$) that vanished when the sample doubled; the FX results, which were accounting restatement; and the final flow-based coefficients, which were pre-existing trend. Each was caught by a diagnostic—sample expansion, an accounting-mechanics argument, an extended event window—that a conventional speci-
95 fication would not have run. A design generating three false positives before generating a null is informative about the design.

1.4. Contribution

To the transmission literature we delimit where statement-based designs can substitute for registry data, and supply a validated price measure that
100 survives. To empirical work on Türkiye we document two hazards—one in a vendor field, one in the accounting standard—threatening a broad class of post-2022 studies. To research on Vietnam we introduce a firm-level statement panel not previously used for such questions. Methodologically, we offer split-half reliability and first-stage prediction as cheap, decisive tests
105 that any paper using an estimated firm characteristic as a regressor should report, and we give them a formal justification.

2. Related literature

2.1. Firm heterogeneity in monetary transmission

That monetary policy affects firms unequally is long established. Gertler
110 and Gilchrist (1994) documented that small manufacturing firms bear a disproportionate share of the adjustment following tightening, and Bernanke and Gertler (1995) formalised the credit channel through which balance-sheet strength mediates the response. Kashyap and Stein (2000) established the bank lending channel using cross-sectional variation in bank liquidity.

115 The modern literature has sharpened the relevant margin. Ottonello and Winberry (2020) show that firms with low default risk respond *most* to monetary shocks, because they face flatter marginal cost curves for external finance. Cloyne et al. (2023) find that younger firms without dividend payments drive the investment response. Ozdagli (2017) shows that financial
120 frictions shape the stock price reaction to policy, and Greenwald (2019) identifies an interest coverage channel operating through debt covenants—directly relevant to our outcome set, since coverage is one of the few distress measures that survives Proposition 8.

Two strands bear closely on our design. The first concerns *contractual*
125 repricing: Ippolito et al. (2018) identify the floating rate channel using loan-level data, and Auer et al. (2019) trace international transmission through banks in small open economies. The second concerns *maturity*: Almeida et al. (2012) exploit quasi-random variation in whether long-term debt happened to mature just before the 2007 crisis, a design that isolates rollover
130 exposure cleanly; Jungherr et al. (2024) show maturity structure materially shapes transmission; He and Xiong (2012) provide the theoretical link be-

tween rollover and credit risk; and Demirgüç-Kunt and Maksimovic (1999) document how institutions shape maturity choice across countries.

Our contribution is not to this literature’s substance but to its trans-
135 portability. Every study cited uses either supervisory data or a market with rich contractual disclosure. We ask what remains when neither is available, and Section 3 shows the answer is not simply “a noisier version of the same design”.

2.2. Currency mismatch in emerging markets

140 Because Türkiye’s episode combines tightening with severe depreciation, the FX-mismatch literature bears directly on our measurement problem. Eichengreen and Hausmann (1999) framed the “original sin” of borrowing in foreign currency. The empirical record is more nuanced than the framing suggests: Bleakley and Cowan (2008) find that firms holding dollar debt did
145 not systematically underperform during depreciations, because they tended to hold dollar revenues too, while Aguiar (2005) documents contractionary balance-sheet effects in Mexico. Kalemli-Ozcan et al. (2016) reconcile these by showing that the damaging combination is unhedged FX debt together with a banking crisis restricting credit supply.

150 Bruno and Shin (2015b,a) establish the risk-taking channel linking exchange rates, bank leverage and global liquidity; Du and Schreger (2022) connect sovereign risk, currency risk and corporate balance sheets; Acharya et al. (2024) show how impaired credit allocation distorts inflation dynamics. For Türkiye, Akbal and Civeir (2026) examine the asymmetric response of
155 the lira to capital flows and sovereign spreads.

This literature matters to us twice over. Substantively it explains why

exporters may be insulated—a mechanism Şengül and Çinko (2026) invoke directly, noting that exporters generate foreign-currency revenues and benefit from exchange-rate pass-through. Methodologically it explains why the bundled financial-expense field of Section 6 is so damaging: in a currency crisis
160 revaluation losses dwarf interest, and a measure conflating them attributes currency effects to monetary policy.

2.3. Accounting measurement under inflation

Our identification problem is at bottom an accounting one, and there is a
165 literature on it that monetary economics rarely cites. Gordon (2001) examines the value relevance of historical cost, price level and replacement cost accounting in Mexico; Barniv (1999) studies inflation-adjusted versus historical-cost earnings under hyperinflation; Davis-Friday and Gordon (2005) analyse how the valuation roles of book value, earnings and cash flows shift during
170 a macroeconomic shock; and Konchitchki (2011) demonstrates that nominal reporting has real consequences even at moderate inflation. De Franco et al. (2011) show that statement comparability is itself economically consequential.

The consistent message is that when general price levels move sharply,
175 the mapping from economic reality to reported figures changes, and changes *differently across firms*. Proposition 7 gives this literature what we believe is a novel application: an accounting transition coinciding with a treatment date and interacting with the treatment variable is not a nuisance to be absorbed but a threat to identification.

180 *2.4. Measurement error and generated regressors*

Our exposure results connect to a developed econometric literature. Pagan (1984) established the consequences of using a regression-generated variable as a regressor in a second stage, which is precisely our situation. Griliches and Hausman (1986) show that panel transformations frequently *amplify* rather than attenuate measurement error—directly relevant, since first-differencing in (6) removes the fixed effect but magnifies the noise-to-signal ratio. Classical attenuation biases coefficients toward zero, exactly the pattern our null exhibits, which is why we regard a first-stage validity test as obligatory rather than optional.

190 Proposition 5 extends this in a direction we have not seen applied to firm-level exposure: separating estimation error from genuine impermanence of the underlying characteristic. The distinction is consequential because the two failure modes call for opposite responses.

3. A framework for statement-based exposure measurement

195 This section formalises what is at stake when the exposure variable of a difference-in-differences design is estimated from accounting data rather than observed contractually. The framework is deliberately spare, and each result generates a statistic we compute in Sections 6–8.

3.1. Setup

200 Index firms by $i = 1, \dots, N$ and years by $t = 1, \dots, T$. Let π_t denote the policy rate and f_t the log exchange rate. Let $P_t = \mathbf{1}\{t \geq t^*\}$ be the post-treatment indicator, with t^* the tightening date.

Each firm has a latent *repricing exposure* θ_i , defined as the share of its debt whose contractual rate resets within the period. The object of interest
 205 is the effect of tightening on a distress outcome Y_{it} , mediated by exposure:

$$Y_{it} = \beta (\theta_i P_t) + \alpha_i + \lambda_t + \varepsilon_{it}, \quad \mathbb{E}[\varepsilon_{it} \mid \theta_i, P_t] = 0, \quad (1)$$

with firm effects α_i and year effects λ_t . If θ_i were observed, β would be identified by the two-way within estimator. The registry literature is, in effect, the case in which θ_i is observed.

Our situation is that θ_i is not disclosed. We observe instead a proxy

$$\hat{\theta}_i = \theta_i + u_i, \quad u_i \perp (\theta_i, \varepsilon_{it}), \quad \text{Var}(u_i) = \sigma_u^2, \quad \text{Var}(\theta_i) = \sigma_\theta^2. \quad (2)$$

210 Define the *reliability ratio*

$$\lambda \equiv \frac{\sigma_\theta^2}{\sigma_\theta^2 + \sigma_u^2} \in [0, 1]. \quad (3)$$

3.2. Attenuation of the treatment estimand

Proposition 1 (Attenuation). *Let $\hat{\beta}$ be the two-way within estimator of (1) obtained by replacing θ_i with $\hat{\theta}_i$. Then*

$$\text{plim}_{N \rightarrow \infty} \hat{\beta} = \lambda \beta. \quad (4)$$

Proof. Write the regressor as $X_{it} = \hat{\theta}_i P_t$ and let $\tilde{X}$ denote its residual after
 215 projecting out firm and year effects. Because P_t varies only over time and $\hat{\theta}_i$ only across firms, the within transformation yields $\tilde{X}_{it} = (\hat{\theta}_i - \bar{\theta})(P_t - \bar{P})$. Using (2) and $u_i \perp \theta_i$,

$$\text{Cov}(\tilde{Y}, \tilde{X}) = \beta \sigma_\theta^2 \text{Var}(P), \quad \text{Var}(\tilde{X}) = (\sigma_\theta^2 + \sigma_u^2) \text{Var}(P).$$

The ratio is $\lambda\beta$. □

Proposition 1 is the classical attenuation result (Pagan, 1984) transposed
 220 to an interaction term, and it has an uncomfortable implication: a statistically insignificant $\widehat{\beta}$ is consistent with *any* value of β once λ is small. A null is therefore uninterpretable without an estimate of λ .

3.3. Identifying the reliability ratio

The natural objection is that λ is unobservable because θ_i is. It is not,
 225 provided two independent proxies can be constructed.

Proposition 2 (Split-half identification). *Let $\widehat{\theta}_i^{(1)} = \theta_i + u_i^{(1)}$ and $\widehat{\theta}_i^{(2)} = \theta_i + u_i^{(2)}$ be estimated on disjoint subsamples, with $u^{(1)} \perp u^{(2)}$ and $\text{Var}(u^{(1)}) = \text{Var}(u^{(2)}) = \sigma_u^2$. Then*

$$\text{Corr}(\widehat{\theta}^{(1)}, \widehat{\theta}^{(2)}) = \frac{\sigma_\theta^2}{\sigma_\theta^2 + \sigma_u^2} = \lambda. \quad (5)$$

Proof. $\text{Cov}(\widehat{\theta}^{(1)}, \widehat{\theta}^{(2)}) = \text{Var}(\theta) = \sigma_\theta^2$ since the errors are mutually independent and independent of θ . Each variance is $\sigma_\theta^2 + \sigma_u^2$. $\square$
 230

Corollary 3. *If the split-half correlation is not bounded away from zero, then $\text{plim } \widehat{\beta} = 0$ irrespective of β , and the estimated treatment effect carries no information about the structural parameter.*

This is, to our knowledge, an underused device. The split-half correlation
 235 is trivial to compute whenever exposure is estimated from a time series, and by Proposition 2 it *is* the attenuation factor rather than merely a diagnostic correlated with it. Section 7 reports values of -0.219 and -0.080 .

3.4. Feasibility: how long a panel is required?

Corollary 3 raises the question of whether a longer panel would rescue
 240 the design. It can be answered analytically.

Suppose exposure is estimated firm by firm from the first-differenced re-
 gression

$$\Delta r_{it} = a_i + \theta_i \Delta \pi_t + \gamma_i \Delta f_t + \eta_{it}, \quad \text{Var}(\eta_{it}) = \sigma_\eta^2, \quad (6)$$

where r_{it} is the firm's realised borrowing cost. With T usable observations
 per firm, sample variance s_π^2 of $\Delta \pi_t$, and correlation ρ between $\Delta \pi_t$ and Δf_t ,
 245 the sampling variance of the OLS estimate is

$$\text{Var}(\hat{\theta}_i) = \frac{\sigma_\eta^2}{T s_\pi^2 (1 - \rho^2)} \equiv \sigma_u^2. \quad (7)$$

Proposition 4 (Feasibility condition). *Attaining reliability $\lambda \geq \lambda^*$ requires*

$$T \geq \frac{\lambda^*}{1 - \lambda^*} \cdot \frac{\sigma_\eta^2}{s_\pi^2 (1 - \rho^2) \sigma_\theta^2}. \quad (8)$$

Proof. Substitute (7) into (3) and solve the inequality $\sigma_\theta^2 / (\sigma_\theta^2 + \sigma_u^2) \geq \lambda^*$ for
 T . □

Every quantity on the right is estimable, so (8) can be taken to data.
 250 When we do so in Section 7 the condition is comfortably satisfied: sampling
 noise implies $\lambda \approx 0.99$ in Vietnam and 0.78 in Türkiye, and a conventional
 power calculation would have judged the design feasible at the available panel
 length.

That verdict is contradicted by the split-half correlations, which are zero
 255 or negative. The contradiction is informative, and resolving it requires en-
 riching (2).

3.5. Permanent, transitory and sampling components

Suppose the quantity a firm-level regression recovers is not a fixed trait but a window-specific realisation,

$$\theta_i^{(w)} = \theta_i + \nu_i^{(w)}, \quad \text{Var}(\nu_i^{(w)}) = \sigma_\nu^2, \quad (9)$$

260 where θ_i is a persistent characteristic and $\nu_i^{(w)}$ a transitory component that is real within window w —the firm genuinely did reprice that way over those years—but does not carry across windows. The estimated slope is then $\widehat{\theta}_i^{(w)} = \theta_i + \nu_i^{(w)} + u_i^{(w)}$.

Proposition 5 (Three-way decomposition). *Under (9) with ν , u mutually*
 265 *independent and independent of θ ,*

$$\text{Var}(\widehat{\theta}_i^{(w)}) = \sigma_\theta^2 + \sigma_\nu^2 + \sigma_u^2, \quad \text{Corr}(\widehat{\theta}^{(1)}, \widehat{\theta}^{(2)}) = \frac{\sigma_\theta^2}{\sigma_\theta^2 + \sigma_\nu^2 + \sigma_u^2}, \quad (10)$$

so the split-half correlation identifies the permanent share alone, and

$$\sigma_\nu^2 = \text{Var}(\widehat{\theta})(1 - \text{Corr}) - \sigma_u^2. \quad (11)$$

Moreover, Proposition 1 continues to hold with λ equal to this permanent share, since only θ_i is stable enough to interact with a treatment occurring after the estimation window.

270 *Proof.* The variance decomposition is immediate from independence. The covariance across windows is $\text{Var}(\theta) = \sigma_\theta^2$ because both ν and u are window-specific. Rearranging gives σ_ν^2 . $\square$

Proposition 5 separates two failure modes that are easily conflated. *Imprecision* (σ_u^2 large) is remediable by more data. *Impermanence* (σ_ν^2 large) is

275 not: no amount of additional data makes a transitory quantity a usable pre-determined regressor. The empirical decomposition in Section 7 attributes 99.4% of Vietnamese and 78.0% of Turkish dispersion in estimated slopes to the transitory component and none to the permanent one—so the binding problem is impermanence, and quarterly estimation would not solve it.

280 3.6. *In-sample fit is not evidence*

A researcher inspecting (6) would observe a respectable R^2 and might conclude the specification has content. It does not.

Proposition 6 (Null benchmark for fit). *Under the null that neither regressor enters (6), with k regressors excluding the intercept and T observations,*
 285 *the coefficient of determination satisfies*

$$R^2 \sim \text{Beta}\left(\frac{k}{2}, \frac{T-k-1}{2}\right), \quad \mathbb{E}[R^2] = \frac{k}{T-1}. \quad (12)$$

Proof. Standard: under the null the explained and residual sums of squares are independent χ^2 variates with k and $T-k-1$ degrees of freedom, so their normalised ratio is Beta distributed with the stated parameters, whose mean is $k/(T-1)$. $\square$

290 With $k = 2$ and a median of $T = 6$ usable observations, $\mathbb{E}[R^2] = 0.40$. Any reported fit near this value is uninformative. Section 7 reports an observed Vietnamese median of 0.396.

3.7. *Inflation restatement as an exposure-by-post confound*

We now formalise the accounting problem described in Section 4. Let A_{it}
 295 denote true non-monetary assets and D_{it} monetary debt. Under a general

price-level restatement beginning at t_0 , non-monetary items are indexed by a factor depending on their *vintage*, while monetary items are not:

$$A_{it}^* = \Phi_{it} A_{it}, \quad D_{it}^* = D_{it}, \quad \log \Phi_{it} = (1 + \delta_i) c_t \mathbf{1}\{t \geq t_0\}, \quad (13)$$

where c_t is the common cumulative price-index component and δ_i is a firm-specific loading determined by the vintage profile of the firm's asset base, normalised so that $\mathbb{E}[\delta_i] = 0$. 300

Proposition 7 (Non-absorbability). *Let reported log leverage be $\ell_{it}^* = \log D_{it}^* - \log A_{it}^*$ and consider the two-way within regression of ℓ_{it}^* on $\theta_i P_t$ with $P_t = \mathbf{1}\{t \geq t_0\}$. Then*

$$\text{plim } \hat{\beta} = \beta - \bar{c} \frac{\text{Cov}(\theta_i, \delta_i)}{\text{Var}(\theta_i)}, \quad \bar{c} \equiv \mathbb{E}[c_t \mid t \geq t_0], \quad (14)$$

so the estimator is inconsistent whenever $\text{Cov}(\theta_i, \delta_i) \neq 0$, and the bias is not removed by firm or year effects. 305

Proof. Substituting (13), $\ell_{it}^* = \ell_{it} - c_t \mathbf{1}\{t \geq t_0\} - \delta_i c_t \mathbf{1}\{t \geq t_0\}$. The second term varies only with t and is absorbed by λ_t . The third term varies across firms and only after t_0 ; it is therefore collinear with the regressor $\theta_i P_t$ to the extent that δ_i covaries with θ_i , and projecting it onto $\theta_i P_t$ yields the stated bias. Firm effects α_i cannot absorb it because it is zero before t_0 and non-zero after. 310 □

Proposition 7 is the paper's central identification result and the reason we regard the Turkish post-2022 window as hazardous. The condition $\text{Cov}(\theta_i, \delta_i) \neq 0$ is not a knife-edge case: δ_i depends on asset vintage, which correlates with capital intensity, sector and firm age, each of which correlates 315

with financing structure and hence with any balance-sheet exposure measure. The usual defence—country-by-year fixed effects—absorbs c_t exactly and $\delta_i c_t$ not at all.

3.8. Flow ratios are invariant

320 The corresponding positive result identifies what survives.

Proposition 8 (Flow invariance). *Suppose income-statement items accruing within period t are restated by a common factor ψ_t that does not depend on i . Then for any two flows X_{it}, Z_{it} the reported ratio is exactly invariant, $X_{it}^*/Z_{it}^* = X_{it}/Z_{it}$; and for the implied borrowing cost $r_{it} = |\text{Int}_{it}|/\bar{D}_{it}$, which*
 325 *divides a restated flow by an unrestated monetary stock,*

$$\log r_{it}^* = \log \psi_t + \log r_{it}, \quad (15)$$

so that $\log r_{it}^*$ is contaminated only by an additive time effect, fully absorbed by λ_t .

Proof. Immediate from $X^* = \psi_t X$, $Z^* = \psi_t Z$ and $D^* = D$. □

Remark 1. Proposition 8 is why our outcome set is restricted to the EBIT
 330 margin, interest coverage, the log implied rate and log debt growth, and why the Altman Z'' score, leverage, equity ratios and return on assets are discarded: each of the latter contains a non-monetary stock and is exposed to Proposition 7. It also refines the specification: the implied rate is invariant *in logs*, not in levels, and we use it accordingly.

335 3.9. Reading pass-through structurally

Finally, the framework gives the aggregate pass-through estimate an interpretation. Let the firm's realised average cost be a maturity-weighted

average of past marginal rates,

$$r_{it} = \sum_{s \geq 0} \omega_{is} \iota_{t-s}, \quad \sum_{s \geq 0} \omega_{is} = 1, \quad (16)$$

where ι_t is the marginal contract rate and ω_{is} the share of debt priced s
 340 periods ago. Then $\partial r_{it} / \partial \iota_t = \omega_{i0} \equiv m_i$, the share repricing within the
 period, and aggregating, $\Delta \bar{r} / \Delta \bar{\iota} = \bar{m}$.

Corollary 9. *The aggregate pass-through coefficient identifies the mean effective repricing share $\bar{m}$ of the corporate debt stock.*

Section 6 estimates $\bar{m} \approx 0.35$ for Türkiye against a median short-term
 345 debt share of 0.63, implying that even nominally short debt repriced only
 partially—evidence, though not proof, of quantity rationing or subsidised
 credit substituting for full price adjustment.

4. Institutional setting

4.1. Two monetary regimes

350 The Turkish tightening is the sharper of the two by an order of mag-
 nitude. After a period of unorthodox easing the one-week repo rate stood
 at 9.0% at end-2022. Following the June 2023 reversal it reached 42.5% by
 end-2023, peaked at 47.5% during 2024, and stood at 38.0% at end-2025.
 Consumer price inflation exceeded 60% at its height and the lira depreciated
 355 from roughly 18.7 per US dollar at end-2022 to 43.0 at end-2025.

Vietnam’s experience is far milder. The State Bank raised policy rates
 in late 2022 amid stress in the domestic corporate bond market and reversed
 through 2023. The average bank lending rate rose from 8.0% in 2022 to 9.3%

in 2023—against 17.0% at the peak of the 2011 inflation episode, a useful
360 within-country benchmark for what a severe Vietnamese tightening looks
like.

The comparison is therefore not treatment versus control but large dose
versus small dose, and the appropriate prediction is proportional rather than
binary.

365 4.2. *The Turkish accounting transition*

Türkiye met the IFRS criteria for a hyperinflationary economy and was
classified as such from April 2022, with local inflation-adjustment require-
ments following for statements through end-2023. Under the relevant stan-
dard, entities reporting in the currency of a hyperinflationary economy re-
370 state their statements in the measuring unit current at the balance sheet
date, and comparatives are restated on the same basis.

The mechanics are those assumed in (13). Non-monetary items—property,
plant and equipment, inventories, equity—are restated by a general price in-
dex applied from each item’s acquisition date, so the effective factor depends
375 on vintage. Monetary items—debt, cash, receivables—are already in period-
end purchasing power and are not restated. Income-statement items are
restated to period-end purchasing power by a factor common across firms
within a period, which is the condition of Proposition 8.

5. Data

380 5.1. *Sources and construction*

The Vietnamese panel derives from an item-level dataset of statements
filed by companies listed on the Ho Chi Minh City and Hanoi exchanges, dis-

tributed through a public research repository in long format with standard-
 ised item codes. Pivoting to firm-year observations yields 9,893 firm-years
 385 for 693 firms over 2011–2025, with non-missing coverage of 94.5% for total
 assets, 94.7% for total debt, 91.2% for interest expense, 93.2% for EBIT and
 96.8% for equity.

The Turkish panel derives from a brokerage service redistributing filings
 made to the Public Disclosure Platform. One request returns the balance
 390 sheet, income statement, cash-flow statement and supplementary items with
 bilingual labels for four annual periods. The resulting panel covers 585 firms
 over 2010–2025 and carries two items with no Vietnamese counterpart: ex-
 port sales and net foreign-currency position.

Both panels are restricted to non-financial firms, since banks, insurers
 395 and brokers file on incompatible templates. We require strictly positive total
 debt and assets, the transmission channel being undefined otherwise.

Table 1: Firms per year

Year	Türkiye	Vietnam	Year	Türkiye	Vietnam
2015	349	648	2021	551	691
2016	358	663	2022	568	692
2017	370	670	2023	585	693
2018	428	682	2024	584	692
2019	467	686	2025	582	689
2020	508	690			

Table 2: Descriptive statistics, 2015–2025

Variable	Vietnam				Türkiye			
	<i>n</i>	Mean	Median	SD	<i>n</i>	Mean	Median	SD
Debt / assets	5,708	0.250	0.225	0.170	4,780	0.228	0.195	0.190
Short-term debt share	5,708	0.709	0.852	0.323	4,783	0.627	0.647	0.284
Implied borrowing cost	5,693	0.063	0.063	0.032	3,870	0.312	0.252	0.219
Interest coverage	5,340	9.225	3.290	15.698	4,673	2.680	1.068	6.502
Return on assets	5,698	0.065	0.053	0.065	4,783	0.080	0.070	0.105

5.2. Descriptive statistics

Leverage is comparable across markets at 20–25% of assets, and both corporate sectors fund themselves predominantly at short maturity; the Vietnamese median short-term share of 0.85 speaks to the rollover-risk framing of He and Xiong (2012). The contrast in distress is stark: median Turkish interest coverage is 1.07 against Vietnam’s 3.29, placing the median Turkish firm close to the covenant-relevant threshold Greenwald (2019) identifies.

5.3. Cross-validation against an independent source

Because the subject is measurement, we test rather than assume our panels.

Total assets and revenue reconcile at a median relative difference of zero in both countries. Equity differs by about four percent in Vietnam because the aggregator reports parent-only equity where the national source consolidates minority interest; EBIT differs by 21–23% because the aggregator derives it from pretax income plus interest rather than reported operating profit.

Table 3: Reconciliation with an independent source

Variable	Vietnam		Türkiye	
	Corr.	Median diff.	Corr.	Median diff.
Total assets	1.0000	0.0000	0.9960	0.0000
Revenue	0.9999	0.0000	0.9935	0.0000
Total debt	0.9906	0.0000	0.9960	−0.0295
Equity	0.9956	−0.0447	0.9552	−0.0039
EBIT	0.7657	+0.2339	0.8539	+0.2093
Interest expense (abs.)	0.9913	0.0000	0.7272	−0.6880

Both are definitional. The interest-expense discrepancy in Türkiye is not, and Section 6 is devoted to it.

6. The price of corporate debt

6.1. Construction and validation

For firm i in year t the implied borrowing cost is

$$r_{it} = \frac{|\text{Interest expense}_{it}|}{\frac{1}{2}(D_{it} + D_{i,t-1})}, \quad (17)$$

with D the sum of short- and long-term borrowings. Averaging the denominator prevents the ratio being driven mechanically by borrowing undertaken during the year. By Proposition 8, $\log r_{it}$ is contaminated only by an additive time effect under restatement, and we use logs throughout.

The measure is not calibrated to any policy series, so recovering one is a genuine test.

Table 4: Median implied borrowing cost and the policy path

Vietnam			Türkiye		
Year	Implied	Lending rate	Year	Implied	CBRT policy
2011	11.1%	17.0%	2022	17.8%	9.0%
2013	7.5%	10.4%	2023	25.4%	42.5%
2015	5.8%	7.1%	2024	31.2%	47.5%
2020	6.3%	7.6%	2025	25.8%	38.0%
2023	7.2%	9.3%			
2025	5.8%	—			

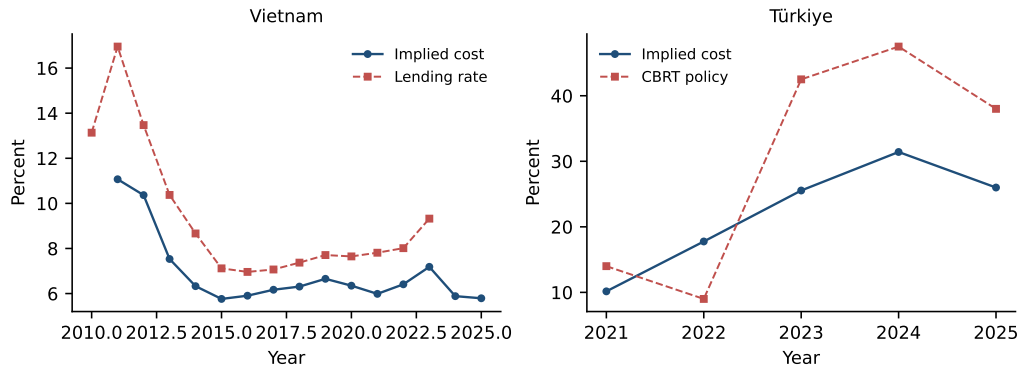


Figure 1: Median implied borrowing cost against the policy path. The measure is constructed from firm financial statements alone and is not calibrated to any policy series.

Figure 1 plots the comparison. The Turkish series peaks in 2024, the year policy peaks. The Vietnamese series peaks in 2011 at the height of that country’s inflation crisis, falls monotonically to 5.8% by 2015, rises to 7.2% in the 2023 tightening and subsides. Median interest coverage moves in mirror image, reaching its Vietnamese sample minimum of 2.05 in exactly 2023.

6.2. *Pass-through*

Policy moved 38.5 points between end-2022 and the 2024 Turkish peak; realised borrowing costs moved 13.4 points, from 17.8% to 31.2%. By Corollary 9 this identifies a mean effective repricing share of $\bar{m} \approx 0.35$. Set against a median short-term debt share of 0.63, it implies that even nominally short debt repriced only partially. Over the same window median interest coverage halved, from 3.36 to 1.66. Vietnam’s mild cycle moves costs 0.8 points, with coverage dipping from 3.11 to 2.05 and recovering to 2.70.

6.3. *A data hazard: bundled financial expense*

The Turkish field labelled *Financial Expenses* is the only interest-like item available before 2021 and is the natural candidate for the long history. It should not be used as one: against the independent aggregator it runs roughly three times larger, with a median relative difference of -68.8% and a correlation of 0.727 on absolute values, against Vietnam’s 0.991 and 0.00%.

The field bundles foreign-exchange revaluation, and in a currency crisis those losses dwarf interest. The consequence is not attenuation but a change in what is measured: built on the bundled field the Turkish implied cost peaks in **2018 and 2021**, the lira depreciation episodes; built on a clean interest figure it peaks in **2024**, with policy. A researcher using it to study

monetary transmission would recover currency shocks and report them as interest-rate effects, with strong significance.

7. Measuring exposure

450 7.1. *The required object is not disclosed*

Contractual repricing basis does not appear in published statements under either regime. Firms disclose borrowings by maturity and sometimes currency, but not by repricing terms. We therefore assess the two constructible substitutes.

455 7.2. *Revealed repricing sensitivity*

We estimate (6) firm by firm over a window ending before treatment. The FX term is included jointly rather than as a nuisance control, because Section 6 established that much of the movement in Turkish realised cost is currency revaluation.

460 On conventional diagnostics the estimates behave: about 72% of firms in both countries return a positive $\hat{\theta}$, the mean Vietnamese estimate implies that a one-point rise in the lending rate raises a firm's cost of funds by roughly 0.79 points, and median in-sample R^2 is 0.28 in Vietnam and 0.34 in Türkiye. Propositions 2–6 supply the tests these diagnostics cannot pass.

465 By Proposition 2 these correlations *are* the reliability ratio λ . Both are zero or negative, so by Corollary 3 the treatment estimand is attenuated to zero and carries no information about β . The measured balance-sheet characteristics in the lower rows behave as stable traits, so the failure is specific to regression-estimated quantities.

Table 5: Split-half reliability of candidate exposure measures

Measure	Türkiye	Vietnam
Repricing sensitivity $\hat{\theta}$	-0.219	-0.080
FX sensitivity $\hat{\gamma}$	+0.147	+0.094
Short-term debt share	+0.438	+0.628
Export share	+0.838	—

Table 6: Variance decomposition of estimated repricing sensitivities

	Vietnam	Türkiye
$\text{Var}(\hat{\theta})$	3.75×10^{-3}	1.74×10^{-4}
Sampling component σ_u^2	2.42×10^{-5}	3.83×10^{-5}
Reliability implied by sampling noise alone	0.994	0.780
Measured split-half correlation	-0.080	-0.219
Permanent component σ_θ^2	0.000	0.000
Transitory component σ_ν^2	3.73×10^{-3}	1.36×10^{-4}
Transitory share of dispersion	99.4%	78.0%

470 Table 6 applies Proposition 5 and delivers the paper’s sharpest method-
 ological finding. Sampling noise alone implies reliabilities of 0.994 and 0.780:
 a conventional power calculation, or an inspection of standard errors, would
 have judged the design comfortably feasible. The split-half correlations
 nonetheless force the permanent component to zero, attributing 99.4% of
 475 Vietnamese and 78.0% of Turkish dispersion to a transitory component.

The distinction matters for what one should do about it. Imprecision
 is remediable with more data; impermanence is not. A firm’s estimated
 repricing sensitivity is real within the window in which it is measured and
 does not persist beyond it, so it cannot serve as a pre-determined regressor for
 480 a treatment occurring later. Quarterly estimation would raise T and shrink
 σ_u^2 , which Table 6 shows was never the binding constraint.

7.3. First-stage prediction

The decisive test asks whether $\hat{\theta}$ predicts what it purports to.

Table 7: Does estimated exposure predict the actual change in borrowing cost?

	Türkiye (2022–24)	Vietnam (2022–23)
Coefficient on $\hat{\theta}$ (standardised)	−0.036	+0.001
p -value	0.27	0.54
R^2	0.035	0.002
Change, lowest tercile	+0.19	+0.006
Change, highest tercile	+0.04	+0.010

In Türkiye the most-exposed tercile records the *smallest* increase in re-
 485 alised cost. Median in-sample fit of 0.396 in Vietnam matches the null bench-

mark $k/(T - 1) = 0.40$ of Proposition 6 almost exactly.

7.4. *Balance-sheet proxies*

The measured characteristics are reliable but do not identify repricing. Regressing the actual change in borrowing cost on standardised pre-period
490 characteristics yields R^2 below 0.02 for the short-term debt share, leverage, the current ratio, size and interest coverage, in both countries.

The short-maturity share illustrates the confound. It is simultaneously a measure of repricing exposure and of credit quality, since firms able to roll short-term paper cheaply are disproportionately the strongest borrowers. In
495 Türkiye the two align and coverage falls monotonically across terciles; in Vietnam the credit-quality effect dominates and the ordering inverts, the most short-funded tercile being the healthiest in most years (5.02 against 3.45 in 2021). A proxy whose sign flips across two structurally similar markets is not measuring a single construct.

500 **8. Identification**

8.1. The restatement confound, empirically

Median leverage more than halves between 2019 and 2024 while equity-to-assets rises by over twenty points, in a period of severe tightening and depreciation during which no such deleveraging occurred. The break begins
505 in 2022, consistent with the April 2022 classification and the restatement of comparatives.

Proposition 7 predicts that a design using stock-based outcomes will be inconsistent whenever $\text{Cov}(\theta_i, \delta_i) \neq 0$. Estimating it with FX exposure as

Table 8: Turkish median balance-sheet aggregates

Year	Equity / assets	Debt / assets
2017	0.472	0.217
2019	0.419	0.226
2021	0.462	0.189
2022	0.558	0.138
2023	0.614	0.111
2024	0.646	0.100
2025	0.619	0.117

treatment returns exactly that pathology: coefficients that are highly sig-
510 nificant and wrongly signed, with firms holding more foreign-currency debt
appearing to *improve* after 2023 (implied rate -0.108 , $p < 0.0001$; Altman Z''
 $+0.813$, $p = 0.004$; leverage -0.049 , $p < 0.0001$); an event-study path grow-
ing monotonically as restatement compounds ($+0.32$, $+0.83$, $+1.18$ across
2023–2025); and large significant pre-treatment coefficients. The result has
515 every outward mark of a strong causal finding and is an accounting artefact.

8.2. The surviving specification

Propositions 7 and 8 imply three restrictions. Outcomes must be flows:
we retain the log implied rate, interest coverage, EBIT margin and log debt
growth, and discard the Altman Z'' score, leverage, equity ratios and return
520 on assets. Exposure must predate the restatement, and we measure it at
2021. And the pre-period must permit a test of parallel trends; because EBIT
margin and debt growth require no interest figure, the bundling problem of

Section 6 is irrelevant to them and the national source’s history back to 2015 can be used. The estimating equations are (1) and its dynamic analogue

$$Y_{it} = \sum_{k \neq 2022} \beta_k (E_i \cdot \mathbf{1}\{t = k\}) + \alpha_i + \lambda_t + \varepsilon_{it}, \quad (18)$$

525 with 2022 omitted and standard errors clustered by firm (Petersen, 2009). Because treatment timing is common within country we avoid the negative-weighting problems of Goodman-Bacon (2021) and de Chaisemartin and D’Haultfœuille (2020); following Roth (2022) we report full event paths rather than a pre-trend test statistic.

530 9. Results

Four coefficients reach conventional significance. The event studies show none is a treatment effect.

Figure 2 makes the point visually. Firms with more short-term debt grow debt more slowly in every year from 2015 onward, and the coefficient at 535 treatment is statistically indistinguishable from those seven years earlier. The Vietnamese EBIT-margin result has the same character, drifting from +0.020 ($p < 0.01$) in 2015 to -0.011 ($p < 0.10$) in 2025 and passing smoothly through the treatment year. These are persistent differences between firm types, not responses to monetary policy. What a conventional two-year window would 540 report is the difference between the 2022 base and the 2023–25 average—a difference that exists, is significant, and means nothing causal.

10. Robustness

Placebo treatment. Assigning a false treatment at 2018 and restricting to 2015–2021 returns nothing for Vietnam: -0.791 ($p = 0.19$) on interest cover-

Table 9: Main estimates: exposure $\times$ post, flow outcomes

Country	Exposure / Outcome	Firms	Coef.	SE	<i>p</i>
TR	Short-term share / implied rate	466	0.018	0.016	0.27
TR	Short-term share / coverage	468	−0.421	0.718	0.56
TR	Short-term share / EBIT margin	499	−0.013	0.012	0.27
TR	Short-term share / debt growth	502	−0.002	0.035	0.96
TR	FX exposure / implied rate	491	−0.025	0.021	0.23
TR	FX exposure / coverage	498	0.176	0.733	0.81
TR	FX exposure / EBIT margin	547	0.023	0.011	0.04
TR	FX exposure / debt growth	536	−0.055	0.028	0.05
VN	Short-term share / implied rate	522	−0.002	0.001	0.11
VN	Short-term share / coverage	521	−0.355	0.497	0.48
VN	Short-term share / EBIT margin	522	−0.016	0.004	0.00
VN	Short-term share / debt growth	522	0.059	0.019	0.00

Table 10: Event study: Turkish short-maturity share on debt growth (base 2022)

Year	Coef.	SE	Year	Coef.	SE
2015	−0.138**	0.068	2021	−0.232***	0.066
2016	−0.187***	0.065	2022	base	—
2017	−0.162***	0.062	2023	−0.220***	0.069
2018	−0.189***	0.072	2024	−0.069	0.076
2019	−0.252***	0.070	2025	−0.191***	0.064
2020	−0.211***	0.057			

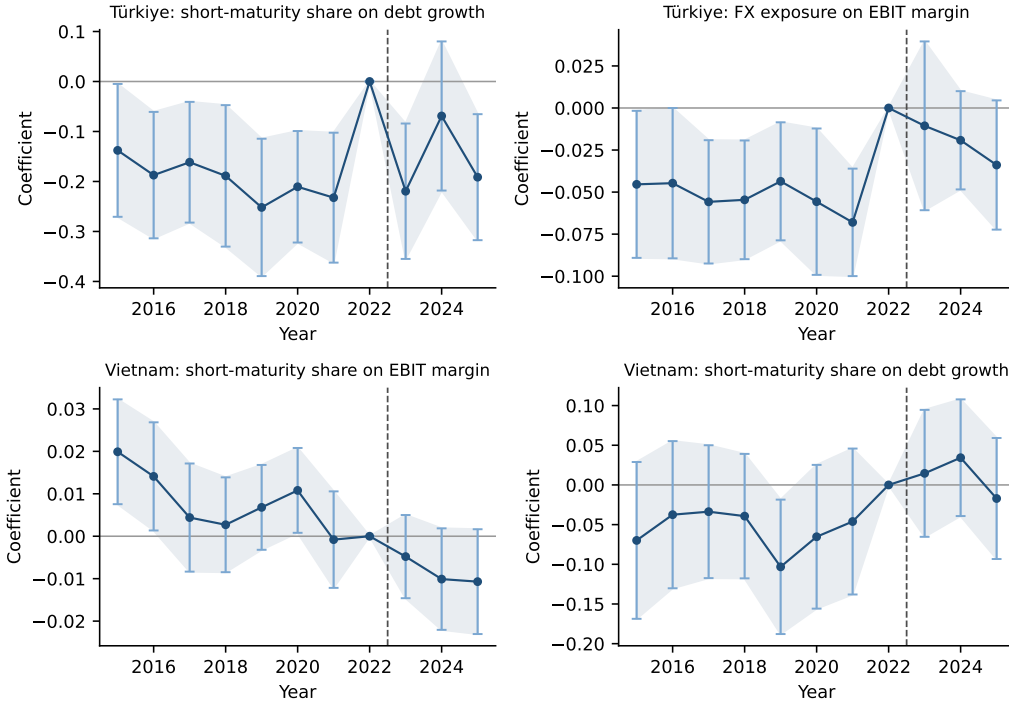


Figure 2: Event studies of exposure interacted with year, with firm and year effects and 95% confidence intervals clustered by firm. The dashed line marks the treatment date. Coefficients are non-zero well before treatment and do not shift at it.

545 age and +0.004 ($p = 0.51$) on EBIT margin. The design is not mechanically generating significance, which supports reading Section 9’s significant coefficients as genuine pre-existing trends.

Sample-size stability. The Turkish estimates were computed at three sample sizes as collection proceeded. At 83 firms the specification returned +0.886 on the Altman Z'' score ($p = 0.045$) with significant pre-trends; at 158 firms 550 both vanished; at 585 firms the estimates are those of Table 9. Roughly a third of the eventual sample produced a significant wrong-signed result with apparent pre-trend violation.

Alternative specifications. Results are unchanged under winsorisation at 1%/99% 555 rather than 2%/98%; exposure measured at 2020 or as the 2020–21 mean; exclusion of the smallest asset tercile; and exclusion of 2022 to guard against restated comparatives.

What would overturn the null. Table 6 is explicit that quarterly estimation would shrink σ_u^2 , which was not the binding constraint, and would leave σ_v^2 560 untouched. Portfolio sorting would average away the transitory component at the cost of the heterogeneity that motivates the exercise. Machine-readable disclosure of repricing basis would remove the problem entirely.

11. Implications for practice

Validate the price measure against the policy path. A measure that cannot 565 reproduce a known aggregate should not be used to estimate an unknown cross-section; this test is what exposed the bundled-expense problem.

Report split-half reliability whenever exposure is estimated. By Proposition 2 it is the attenuation factor itself, not merely a diagnostic correlated with it, and by Proposition 5 it separates imprecision from impermanence. Standard errors and power calculations cannot: in our data they indicated reliabilities of 0.78–0.99 where the true permanent share was zero.

In inflation-accounting regimes, prefer flows. By Proposition 7 the contamination enters as an interaction and fixed effects do not address it; by Proposition 8 ratios of flows escape it.

Extend the pre-period until parallel trends can genuinely be tested. Restricting to outcomes with long history revealed that our significant coefficients were decade-long trends; a two-year window would have produced a publishable false positive.

12. Conclusion

Published financial statements support a genuine, validated measure of the price of corporate debt, and it recovers monetary policy paths in a severe Turkish tightening and a mild Vietnamese one. Using it we document pass-through of roughly 35%, a halving of median Turkish interest coverage, and a data field that conflates currency shocks with interest costs.

Statements do not support a measure of which firms are contractually exposed to repricing. Our framework explains why in a form that is testable rather than rhetorical: the estimand is attenuated by the reliability of the exposure proxy, that reliability is identified by a split-half correlation which is zero in both countries, and the dispersion in estimated sensitivities is transitory rather than permanent—so the failure is impermanence, which

more data cannot cure.

The implication is not that the channel fails to operate; our aggregate evidence is consistent with its operating forcefully in Türkiye. It is that the cross-sectional question—*which* firms bear the adjustment—requires contrac-
595 tual data. Researchers without registry access should direct effort toward the aggregate and price-side questions statements can answer, and toward making repricing terms disclosable, rather than toward proxies that cannot carry the weight placed on them.

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